

including real estate losing a third of its value and a collapse in securitized mortgages. To Boskin, a hard right economist at Stanford University's Hoover Institution and former chair of the Council of Economic Advisers under President George H.W. Bush, it was the month and a half of the Obama presidency that was at fault.

This was one of many misguided attempts by partisan economists to use their *art* as a political cudgel. Woe to those investors who confused their biased political braying for legitimate economic analysis.³¹⁸

I explained this to clients, the news media, and co-workers. But the greatest pushback this time around came from the right side of the political spectrum. My Republican pals were lamenting the new occupant of the White House: "Obama is a Kenyan, a Muslim, a Socialist. He is going to kill business."

When stock markets in the US are cut in half, it has historically been a damned good entry point into equities.³¹⁹ On March 9, three days after Boskin's op-ed, the market bottomed and would go practically straight up for both of Obama's terms, with the S&P 500 gaining 375%.

And many of my politically active friends on the right missed it.

Remember, the cycle of booms and busts is a surprisingly regular occurrence. What some people call a "100-year flood" actually happens far more frequently—since 1929, there have been 18 crashes. Even since the turn of the 21st century, we have had three *once in a generation* market events.

As the next chart by my colleague Callie Cox³²⁰ shows, it is not the party in the White House that drives returns, it's market compounding over time.

Growth of \$1 invested in the S&P 500 under different political regimes (1950–2024)